BUSINESS ADMINISTRATION · BA 1204 · 2026–2027

Week 4 Practice Artifacts — Fillable

Management and Leadership: Who decides — the human or the AI? · OpenStax Ch. 6.1–6.5, 7.1–7.4 · Artifact: Human–AI Task Allocation Matrix

Student name	Group	Company A	Company B
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Use this document if Miro is unavailable or lagging, or if you prefer Word. It has exactly the same tasks as the Miro frames for Week 4. Your finished Activity 2 matrix is the Application evidence for Weekly Record 4 AND the on-screen evidence for your A2 Video Essay (due Monday 5 October 2026, 06:00).

HOW TO WORK IN THIS DOCUMENT (if Miro is slow)

1. **One copy per group.** One student downloads this file from Moodle and uploads it to your group chat in MS Teams (Files). Everyone opens it with "Open in browser" and types at the same time — just like Miro.
2. **Rename the file:** GROUP_CompanyB_Week4_Artifacts.docx (e.g., ITM2603_Kaspi_Week4_Artifacts.docx).
3. **Type in the empty white cells.** Cells grow as you type. Click a box ☐ to tick it.
4. **Category chips:** instead of coloured chips, type the category name exactly: Human Only / Human + AI / AI Executes + Human Review / Automated.
5. **After class:** each student puts a screenshot of the finished tables into their own Weekly Record 4 (field 2). For Assignment 2, use the same screenshots in your video and Evidence file.
6. **You do not need to copy it into Miro later.** Working in this document counts the same as working in Miro.

Quick reference — the framework

The four allocation categories (fixed names — use them exactly)

Category	Definition	Example
Human Only	A person decides and does the work. AI is not used.	Dismissing an employee; public crisis statement
Human + AI	A person does the work and decides; AI assists with drafts, data, options.	Manager drafts strategy with AI scenario analysis
AI Executes + Human Review	AI does the work; a named person checks, approves or samples before it counts.	AI drafts customer email replies; agent approves
Automated	A rules-based system runs end to end; humans watch a KPI and handle exceptions.	Automatic payment reminder SMS on day 3

Confused between Human + AI and AI Executes + Human Review? Ask: who writes the first draft? Human → Human + AI. AI → AI Executes + Human Review.

The 5 allocation tests — how to justify every row

Test	Ask this question about the task	If YES, move toward…
1 Accountability	Does the decision affect a person's job, money, rights, health or safety?	Human Only / Human + AI
2 Cost of error	Is a mistake expensive, public, or impossible to undo?	Add a human review point
3 Empathy and trust	Does it need emotion, negotiation, persuasion or trust?	Human Only / Human + AI
4 Volume and rules	Is it high-volume, repetitive, and governed by clear rules and data?	AI Executes + Human Review / Automated
5 Verification	Can a human check the output quickly and reliably?	If NO — do not hand it to AI yet

Sentence template: *"[Category] because [test] — [one Company B fact]." Example: "AI Executes + Human Review because of volume and rules — Company B handles about 5,000 delivery-status questions a week [3]."*

Segment A — Video Essay Lab: How Boeing Lost Its Way

Watch: Wendover Productions, "How Boeing Lost Its Way," YouTube, 2024. https://www.youtube.com/watch?v=URoVKPVDKPU (in class: an 8-minute excerpt; full video = optional independent study)

Your table takes ONE lens. Write two notes from the video, then connect each to a Ch. 6–7 concept.

Lens	Guiding question	What the video shows (2 notes)	Ch. 6–7 concept it illustrates
Planning	What goal replaced 'build the best plane'?	The video contrasts Boeing's engineering identity with stronger pressure for financial performance, delivery and shareholder returns.	Planning must balance financial targets with quality, safety and long-term capability.
Organizing	Who builds the 787: Boeing or its suppliers? What did outsourcing do to control?	Boeing outsourced major parts of the 787 to suppliers, increasing coordination complexity and reducing direct production control.	Organising requires clear supplier accountability and integration; outsourcing does not remove the lead firm's responsibility.
Leading	Engineers or finance people at the top? Which leadership style?	The video describes tension between engineering priorities and management/finance priorities.	Participative leadership should protect technical expertise and encourage employees to raise safety and quality concerns.
Controlling	Which KPI was watched — and which was ignored?	Production and quality failures show the danger of weak controls and unbalanced performance measures.	Controlling needs quality and safety KPIs, independent checks and corrective action— not only cost and delivery targets.
The FORM (everyone)	How does the narrator open, show evidence, and land a verdict?	The narrator opens with a clear contrast, uses a timeline and concrete evidence, then gives a verdict.	For my A2 video: use a clear claim, process diagram, specific evidence and a short transfer verdict.

Activity 1 — Klarna Calibration Case (15 min)

THE CASE — February 2024

February 2024: Klarna, a Swedish buy-now-pay-later fintech, launched an AI customer-service assistant built with OpenAI. In its first month it handled 2.3 million conversations — about two-thirds of all customer chats. Klarna said it was doing the work of 700 full-time agents and cut resolution time from 11 minutes to under 2. [Klarna press release, 27 Feb 2024]

Step 1: sort each task card into one category and name the test that decided it. Do NOT look ahead to the twist.

#	Klarna task card	My first allocation	Test that decided it	Moved after twist? (Y/N)	New allocation
1	Answer “where is my refund?” status questions	AI Executes + Human Review	Volume and rules	N	AI Executes + Human Review
2	Reset a password or change a payment date	Automated	Volume and rules	N	Automated; human fallback for exceptions
3	Reply to customers in 35+ languages	AI Executes + Human Review	Verification and language quality	Y	AI Executes + Human Review; human agent available
4	Decide a disputed purchase between buyer and merchant	Human Only	Accountability and cost of error	N	Human Only
5	Talk to a customer who cannot pay after losing their job	Human Only	Empathy and trust	Y	Human Only / Human + AI support
6	Flag suspicious fraud patterns across accounts	AI Executes + Human Review	Volume and rules; fraud impact requires review	N	AI Executes + Human Review
7	Approve a goodwill refund above the policy limit	Human Only	Accountability and cost of error	N	Human Only
8	Audit a weekly sample of AI chats for quality	AI Executes + Human Review	Verification and quality assurance	N	AI Executes + Human Review

THE TWIST — May 2025

Fifteen months later Klarna's CEO told Bloomberg that the focus on cost had produced lower quality: “We focused too much on efficiency and cost. The result was lower quality.” Klarna began hiring human agents again so that customers can always reach a person if they want one. New model: AI handles routine questions; humans handle complex, sensitive and premium cases.

Step 2: move at least two cards in the table above, then answer:

Lens	Your answer (2–3 sentences)
Leadership (Ch. 6): Klarna announced the change top-down in the media. How would a participative leader have rolled it out?	A participative leader would consult agents, customers and quality teams before rollout, test in stages and publish service-quality measures alongside cost savings.

Lens	Your answer (2–3 sentences)
Motivation (Ch. 9, preview): you are an agent who stayed. Which Herzberg hygiene factor failed? Which Maslow level is threatened?	Poor-quality automation threatens job security and recognition (Herzberg) and employees' safety/security needs (Maslow).
Ethics: is it ethical to tell customers they are talking to an AI only if they ask?	Customers should be told when they interact with AI and offered an easy route to a human, especially for disputes or sensitive cases.
Lesson for Company B in one sentence	KMG should automate routine, rules-based tasks only after testing, while keeping engineers and managers accountable for safety-critical and high-impact decisions.

Activity 2 — Company B: Human–AI Task Allocation Matrix (22 min)

Two tasks per management function. Every row: one category, one justification using the sentence template, one named accountable human. Use all four categories at least once. Tick 'Review point' on the row that most needs a human check.

#	Function	Company B task (verb + object)	Category	Justification: [Category] because [test] — [Company B fact + source no.]	Accountable human (role + level)	Review point ☐	Company A comparison: Adopt / Adapt / Pilot / Delay / Reject + reason
1	Planning	Forecast crude production and refinery feedstock demand	AI Executes + Human Review	Volume and rules — large datasets support forecasts; planning managers review exceptions.	Head of Planning (senior)		Adapt: retrain forecasts on Kazakhstan seasonality and asset data.
2	Planning	Set annual production and capital priorities	Human + AI	Cost of error — AI models scenarios, but strategic and national-supply trade-offs require management judgement.	Chief Strategy Officer (executive)		Adapt: Shell scenario planning is useful, but KMG's state mandate changes priorities.
3	Organizing	Assign maintenance crews and work orders	AI Executes + Human Review	Volume and rules — system prioritises condition data; engineer approves critical work.	Maintenance Manager (middle)	+	Pilot predictive maintenance with engineer approval.
4	Organizing	Coordinate contractors and refinery shutdown schedules	Human + AI	Cost of error — AI can optimise schedules, but HSE and operational constraints need human coordination.	Plant Operations Director (senior)		Adapt digital scheduling with local contractor and HSE checks.
5	Leading	Coach employees and resolve workplace conflict	Human Only	Empathy and trust — sensitive employee issues require human judgement and confidentiality.	HR Director (senior)		Adopt: keep people leadership human-led.
6	Leading	Train crews to use digital HSE tools such as TUMAR	Human + AI	Empathy and verification — analytics identify gaps; supervisors coach and assess competence.	HSE Training Manager (middle)		Adapt digital learning with field demonstrations.
7	Controlling	Monitor equipment condition and generate anomaly alerts	AI Executes + Human Review	Volume and rules — sensor data is high-volume; engineers verify alerts before action.	Chief Mechanical Engineer (senior)		Pilot and scale after accuracy/false-alarm testing.

#	Function	Company B task (verb + object)	Category	Justification: [Category] because [test] — [Company B fact + source no.]	Accountable human (role + level)	Review point ☐	Company A comparison: Adopt / Adapt / Pilot / Delay / Reject + reason
8	Controlling	Send routine compliance reminders and compile KPI dashboards	Automated	Volume and rules — fixed schedules allow automation; owner checks failed runs and exceptions.	Compliance Manager (middle)		Adapt automated reporting with audit trail and exception handling.

Coverage check

☐ Human Only used at least once

☐ Human + AI used at least once

☐ AI Executes + Human Review used at least once

☐ Automated used at least once — and it has a fallback

☐ Every justification names a test AND a Company B fact with a source number from my Evidence Folder

ORG-DESIGN DECISION — Who owns AI in Company B? A central staff team (centralized) or each line department (decentralized)? Why? (Ch. 7: line vs staff, centralization)
Use a hybrid design: a central staff team sets AI policy, cybersecurity, procurement and model-governance standards; line departments own use cases, data quality and operational decisions. This combines consistent controls with local expertise.

Model rows (illustrative — a Kazakhstan grocery retailer, not your Company B)

Task	Function	Category	Justification (test + fact)	Accountable human	vs Company A
Forecast weekly demand per store	Planning	AI Executes + Human Review	Volume and rules — thousands of SKUs; cost of error → category manager approves orders above a threshold	Category manager (middle)	Adapt: AI forecasting re-trained on Kazakhstan holidays
Decide to dismiss an employee	Leading	Human Only	Accountability — a job and legal rights under the Labour Code	HR director + line manager	Adopt: Company A keeps it human
Send low-stock alerts to suppliers	Controlling	Automated	Volume and rules — fixed reorder point; fallback: buyer phones supplier if system fails	Supply chain lead (middle)	Pilot: supplier EDI not yet universal in KZ

Challenge round (5 min)

Challenge we RECEIVED (copy the red sticky)	Our one-line response (defend with evidence OR change)	Did we change the matrix? What and why?
Challenge: AI alerts may be inaccurate in winter or when sensors are poorly maintained.	Retain engineer review, test models on seasonal data and compare alerts with physical inspections.	Added seasonal validation and mandatory human sign-off for safety-critical work orders.
Challenge we GAVE (which table, which row)	**Our question**	
Week 4 matrix, row 7 — monitoring equipment anomalies.	What is the false-positive rate, and who is accountable if an alert is ignored or acted on incorrectly?	

Weekly Record 4 planner — FULL record, fields 1–6 (max 900 words + one artifact)

Field	What goes here	My notes / draft
1 Concept	Key terms in your own words: POLC, leadership styles, span of control, centralization, the 4 allocation categories. One concept check: "Why can AI execute a task but not be accountable for it?"	POLC means planning, organising, leading and controlling. Leadership styles range from directive to participative. Span of control is the number of direct reports. Centralisation concentrates authority; decentralisation distributes it. The four allocation categories identify who performs and approves a task. AI can execute work but cannot hold legal or moral accountability.
2 Application	Today's matrix (insert the Miro image or the table above): 8 tasks, categories, justifications, accountable humans.	The KMG matrix allocates planning, maintenance, HSE, people leadership and monitoring tasks across all four categories. Safety-critical maintenance and anomaly alerts require named engineer review; routine reminders can be automated with exception monitoring.
3 Verification + AI record	What you checked, against which source, what changed (e.g., after the challenge round). Any AI system used, and for what purpose.	The matrix applies accountability, cost of error, empathy/trust, volume/rules and verification tests. The Klarna case shows that efficiency alone is insufficient; human access and service quality must be preserved. Verify KMG-specific claims against the annual report and TUMAR disclosure.
4 Transfer	What Company B should adopt, adapt, pilot, delay or reject from Company A's human–AI model — and why.	KMG should adapt Shell's digital operating practices and pilot predictive maintenance, while retaining human control over safety, employment and strategic decisions. Routine high-volume reporting may be automated with a fallback.
5 Evidence	2–3 new IEEE sources added to your Evidence Folder (Company B annual report, news article, OpenStax Ch. 6–7, the Klarna/Boeing sources if used).	Suggested evidence: KMG Annual Report 2025 (digitalisation, HSE and operations); OpenStax Introduction to Business, ch. 6–7; Klarna AI assistant press release (27 Feb. 2024) and later CEO comments on service quality (2025). Verify exact titles, dates and pages before citing.
6 Capstone link	Developed into Capstone section 4: Human–AI operating model.	Develops into Capstone section 4: define the human–AI operating model, task allocation, accountable roles, review points, escalation and fallback.

IEEE examples you may add to your Evidence Folder if you cite them:

[1] Wendover Productions, "How Boeing Lost Its Way," YouTube, 2024. [Online]. Available: https://www.youtube.com/watch?v=URoVKPVDKPU

[2] Klarna, "Klarna AI assistant handles two-thirds of customer service chats in its first month," press release, Feb. 27, 2024. [Online]. Available: https://www.klarna.com/international/press/klarna-ai-assistant-handles-two-thirds-of-customer-service-chats-in-its-first-month/

[3] L. J. Gitman et al., Introduction to Business, 2nd ed. Houston, TX, USA: OpenStax, 2026, ch. 6–7.

Verify every reference yourself before citing it: open the link, check the date and the exact title.